RBI - OFFICIAL REGULATORY DIRECTION

Circular on Vernacular Loan Sanction Letters and Borrower Acknowledgment

Document ID: DOC_007 | Issuer: RBI | Issue Date: 2019-11-18 | Source: https://www.rbi.org.in/Scripts/NotificationUser.aspx?Id=11720

Chapter 1: Operational Compliance Guidelines (DOC_007)

Clause 5: Mandatory Vernacular Language Disclosure and Document Return

CLAUSE 5.1 VERNACULAR SANCTION COMMUNICATION
Every NBFC shall communicate the annualised rate of interest, processing fees, and penal provisions to the borrower in the vernacular language understood by the borrower. A signed acknowledgment in the vernacular language must be retained in the physical loan docket.

CLAUSE 5.2 RETURN OF ORIGINAL MOVABLE AND IMMOVABLE PROPERTY DOCUMENTS
Upon full repayment or settlement of the loan account, the lending institution shall release all original movable or immovable property deeds and remove charges registered with CERSAI within 30 calendar days. Delay beyond 30 days attributable to the lender shall attract direct compensation to the borrower at the rate of Rs. 5,000 for each calendar day of delay.

Chapter 3: Operational Compliance Guidelines (DOC_007)

Chapter 4: Operational Compliance Guidelines (DOC_007)